

THE INDEPENDENT AND INTERACTIVE ROLES OF PROCEDURAL, DISTRIBUTIVE, AND INTERACTIONAL JUSTICE IN STRATEGIC ALLIANCES

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This study extends research on strategic alliances by exploring independent and combined effects of distributive, procedural, and interactional justice in these alliances. An integrated framework links cooperation payoffs with organizational justice as perceived by boundary-spanning alliance executives, through whom justice perceptions become parent actions. Analysis of 127 alliances demonstrates that when goal differences between parties are high, the joint effect on alliance performance of procedural and distributive justice is significantly positive. When interactional justice is high, procedural justice exerts a stronger performance effect. This perspective enriches alliance research, especially regarding procedural formalization, incentive structure, and interparty attachment.

In recent years, research on organizational justice has proliferated. The field of organizational justice began to develop in the 1960s, when Adams (1965) introduced his equity theory, which focused on the fairness of outcomes, such as pay and promotion decisions, as perceived by employees. This aspect of organizational justice came to be known as *distributive justice* because it related to the fair distribution of outcomes within a workplace. Since the distribution of rewards or outcomes was not always as important as the process by which they were allocated, the focus of research on organizational justice shifted to *procedural justice*, the perceived fairness of the process by which outcomes are reached (Lind & Tyler, 1988). This form of justice is found in procedures that embody certain types of accepted normative principles, such as consistency, bias suppression, accuracy, correctability, representativeness, and ethicality (Leventhal, 1980). Meanwhile, the study of *interactional justice*—the perceived fairness of the nuances of interpersonal treatment—emerged. Interactional justice represents the interpersonal aspect of justice, or the way in which superiors treat employees while enacting procedural justice (Bies & Moag, 1986).

Overall, research on organizational justice has typically focused on microlevel aspects of organizations, which has resulted in a paucity of insight into higher-level topics, such as interfirm

cooperation (Konovsky, 2000: 506). On the other hand, justice theory and its central principles are potentially applicable to some macrolevel phenomena, in particular those associated with the manner in which resources are allocated in a particular firm as well as between firms (Kim & Mauborgne, 1993). The purpose of the present study is to address organizational justice in one particular macrolevel context—that of strategic alliances—and to accordingly emphasize one special high-level team: the top executives, known as *boundary spanners*, who represent each investing party in such alliances.

As I have discovered during my many research field trips to emerging markets, when organizations select their partners for strategic alliances, they not only assess partners' ability but also focus on partners' integrity, benevolence, trustworthiness, and affective states. In particular, alliance executives in China have often reported that it is not always easy to build and preserve trust with partner firms and that they are sometimes overwhelmed by the fear of a partner's opportunism. Interestingly, one executive indicated that he worried more about uncertainty inside an alliance than uncertainty outside of that alliance; this fear cannot be alleviated if outcome sharing, joint decision-making procedures, and interactions are not conducted justly. Another executive commented that existing trust might well slip into distrust if organizational justice is absent. In such situations, helping executives to perceive justice within an alliance may in turn give them confidence in partner firms and their ability to cooperate with them. The use of justice thus creates a strong foundation for interparty cooperation and

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for the kind of evolving cooperation needed in a volatile environment (Child & Faulkner, 1998).

Although a wealth of knowledge has been accumulated in the field of strategic alliances regarding procedure-related formalization and routinization (Gulati & Singh, 1998; Poppo & Zenger, 2002; Tallman & Shenkar, 1994), outcome-related risk sharing and incentive structure (Das & Teng, 1998; Deeds & Hill, 1998; Ring & Van de Ven, 1992), and interaction-based communication and trust (Gulati, 1995; Inkpen & Currall, 1997; Zaheer, McEvily, & Perrone, 1998), very few studies have addressed the importance of procedural justice, distributive justice, and interactional justice in strategic alliances. Justice is an important aspect of a strategic alliance's procedure formalization, incentive structure, and interparty communication. Indeed, without procedural, distributive, and interactional justice, structurally and contractually governed formalization and incentive structure alone may not sufficiently motivate each party to commit necessary resources, beyond what is specified in a contract. The aim of this study was to fill this void in the literature by theorizing and verifying the unique importance of different forms of justice in association with strategic alliance performance and assessing the combined effect of procedural, distributive, and interactional justice on strategic alliance performance.

I believe that it is important to improve understanding of organizational justice in strategic alliances for two reasons. First, understanding the unique property of each type of justice in relation to alliance performance will help pinpoint how that justice type functions so that the optimal justice channels through which a party's goals can best be achieved can be identified. Second, knowing the joint effects of procedural, distributive, and interactional justice may help develop a system in which various types of justice complement one another in strategic alliances. For these reasons, the present study is likely to provide a valuable perspective on procedure formalization, incentive structure, and interparty attachment and thus meaningfully contribute to the research on alliance management. The strategic alliances included in this study consisted of (1) equity joint ventures and (2) coproduction alliances that have their own operating entities but that are not legally and financially independent. An equity joint venture is an alliance that combines resources from more than one organization to create a new financially and legally independent entity distinct from its parents (Inkpen & Beamish, 1997). The inclusion of coproduction alliances with operating entities allowed a larger

sample and comparison to equity joint ventures as to the effects of organizational justice.¹ In addition, to avoid a single-party bias toward perceived justice, this study defines and measures justice from both alliance partners' perspectives (through their representatives, known as boundary-spanning executives). The study's theoretical framework follows this logic: (1) Each type of justice has a unique property and plays a unique role in improving strategic alliance performance. Emphasizing the principle of *equity*, distributive justice improves performance through increased forbearance and decreased opportunism. Emphasizing the principle of *instrumentality*, procedural justice improves strategic alliance performance through improved formalization and routinization that guide daily exchanges or reduce relational risk through an institutional framework that restrains private incentive seeking. Emphasizing the principle of *social exchange*, interactional justice bolsters relational attachment through heightened communication, socialization, and knowledge sharing. Through these different properties and roles, each form of justice may add unique value to strategic alliance performance. (2) Interactively, distributive, procedural, and interactional justice function together to improve strategic alliance performance by complementing one another in stimulating interparty exchange. In particular, when goal differences between parties are high, it becomes more important for procedural and distributive justice to reinforce each other in sharpening the function of justice that covers both means and ends of fairness in exchange. Interactional justice complements procedural justice in providing social elements that foster the enactment of structural elements while complementing distributive justice in incorporating socially embedded reward elements into an economically structured gain-sharing system.

THEORY DEVELOPMENT

Defining Three Forms of Justice in Alliances

Justice has been generally defined as a tripartite concept consisting of distributive, proce-

¹ Nonindependent coproduction alliances are generally less structurally coupled than equity joint ventures, and therefore it is interesting to see whether justice is less important in the former than in the latter. For simplicity of analysis in the discussion and the tests, this study used strategic alliances with only two parties.

dural, and interactional justice.² Distributive justice is generally defined as the distribution of benefits and harms, rewards and costs, and other things that affect the well-being of the individual members of a group or community (Colquitt, 2001; Deutsch, 1985; Greenberg, 1987). Depending on the group of individuals or entities involved, outcomes vary from the *individual-related*—such as pay raises, job security, promotions and layoffs, workplace retaliation, and organizational citizenship behavior—to the *group-related*, such as subsidiary performance, partner commitment, profit sharing in entrepreneur-investor relations, and resource allocation in mergers and acquisitions. The essential values of distributive justice are those that foster effective cooperation to promote each member's well-being in economic, social, psychological, and physiological areas. Three basic distributive justice principles, or *distributive rules*, are equity, equality, and need (see Deutsch, 1985; Tyler, 1994).

In the specific setting of strategic alliances, I define distributive justice as the extent to which interparty sharing of the rewards from cooperation is fair in view of each party's contribution, commitment, and assumption of responsibility. Rewards can be monetary, such as profits and dividends, as well as nonmonetary, such as knowledge acquisition and reputation enhancement. Generally, monetary reward sharing between parties is more likely to be specified in a strategic alliance contract than nonmonetary gain distribution. Therefore, when alliance executives consider nonmonetary rewards, their assessment of distributive justice is typically more perceptual. This perception is strengthened by the fact that parties attach varying weights to different aspects of rewards and that the real contribution of each party to strategic alliance operations does not always coincide with ownership distribution or arrangement. Fairness is generally perceived as the degree to which a party's real gains accord with its resource contribution (e.g., capital, technology, brand, machinery, distribution, etc.), ongoing commitment to joint management and cooperation, and risk or responsibility bearing throughout the course of joint venturing. For instance, in our interviews with Shanghai-based joint venture executives, we learned that if a foreign

party contributed more much-needed advanced technologies than a contract specified, its Chinese partner was often willing to reward the foreign party with higher profit/royalty sharing and/or greater decision-making power in product development. An executive of Shanghai Movie and Photo Industries Co., the alliance partner of Xerox, clearly told me that this outcome distribution was fair because it equally motivated both parties. Similarly, if a party dedicates more to an alliance by utilizing its unique business networks with buyers, suppliers, distributors, and regulators and is rewarded by another party who provides the former with more technological knowledge, distributive justice as perceived by both parties will increase. Foreign automakers in China, for instance, tend to perceive higher gain-sharing fairness when their increased technological commitment is returned by the Chinese partners' greater market access or dealership network sharing (*Automotive News*, 2006). The perception of distributive justice usually emerges from comparison with an internal referent (a partner firm) and a system referent (an alliance contract or policies, if any) as portrayed by boundary spanners who gauge the level of higher-order organizational justice extant in reward sharing or outcome allocation between partner firms.

Procedural justice generally refers to individuals' perceptions about the fairness of formal procedures governing decisions involving their treatment and benefits. Its basic premise is that fair treatment determines individuals' reactions to decisions and is thus central to their behavior (Lind & Tyler, 1988). Procedural justice emphasizes both structural elements, such as process control and opportunity for voice, and work relationships as major determinants of fairness perceptions (Greenberg, 1987). Justice research has extended from how fairness influences lower-order attitudes concerning a particular decision outcome (e.g., the self-esteem, social identity, and team spirit of employees or subordinates) to how it affects higher-order, long-term attitudes such as commitment, trust, and social harmony in groups, subunits, and institutions (Konovsky, 2000).

In a strategic alliance setting, I define procedural justice as the extent to which the strategic decision-making process and procedures that impact each party's gains and interests are impartial and fair as perceived by the boundary spanners representing each party in an alliance. *Fairness* is defined as occurring when the procedures and criteria used in these decisions and their execution are (1) transparent, adjustable, and correctable, (2) unbiased, representative, and nondiscriminatory to each party, and (3) in accordance with contractual spec-

² Colquitt (2001) conceptualized organizational justice as four-dimensional, including not only procedural, distributive, and interactional dimensions, but also an informational dimension. Since most elements of informational justice cannot be easily separated from interactions between boundary spanners from each party, I did not separate informational justice from interactional justice.

ifications. For example, alliance parties may perceive high “transparency” if (1) channels for open discussion between the parties during the formulation and the execution of related procedures are well defined, (2) related procedures and joint decisions are always made after consideration of both sides’ views, and (3) it is clear what is expected from both sides regarding preparing, altering, and adopting related procedures. Similarly, perceived “unbiasedness” may increase when (1) there is no discrimination against either party in the preparation and execution of related procedures, (2) each party’s participative power in preparing and executing related procedures complies with the alliance contract and is commensurate with its resource commitment to joint operations, and (3) all related procedures are designed for the sake of joint returns and alliance growth, not for an individual party’s sole benefit. International joint ventures in Vietnam, for instance, have often faced high conflict levels when such procedures are biased and when procedural power is incongruent with resource commitment (Barden, Steensma, & Lyles, 2005). A French automaker, Peugeot, terminated its alliance with Chinese partners in Guangzhou because it saw unfairness when local partners procedurally undercut its managerial autonomy and its participative power in these procedures was lower than it should have been in view of its contribution (Harwit, 1997). Generally, the major areas requiring procedural justice include procedures used in (1) building and structuring a strategic alliance (i.e., board formation and decision making, contract codification, and alliance establishment), (2) organizing and managing the alliance (i.e., strategic planning, autonomy allocation, and routine management), (3) governing resource sharing (i.e., knowledge transfer, innovation, and resource contribution), and (4) executing alliance plans and decisions (i.e., clarity of execution procedures, contract execution monitoring, and decision execution monitoring).

Interactional justice focuses on individuals’ perceptions of the quality of interpersonal treatment received during the enactment of organizational decisions and procedures and includes various “human-side” behaviors displaying social sensitivity, such as respect, honesty, dignity, and politeness, performed by the originator of justice toward the recipient of justice (Bies, 2001; Bies & Moag, 1986; Cropanzano, Prehar, & Chen, 2002). Interactional justice is most likely to be obtained when the originator of justice treats the recipient with sensitivity and provides the latter with justifications or explanations (Tyler & Bies, 1990). Procedural justice focuses on the formal aspect of the exchange

process; interactional justice, on the other hand, emphasizes the social aspect of the process (Skarlicki & Folger, 1997). Because interpersonal behaviors determine interactional justice, it influences cognitive, affective, and behavioral reactions toward another party’s representative (Tyler & Bies, 1990). In addition, the person representing a partner organization in enacting formal procedures or making critical decisions will also be seen as the representative for high-order justice, which often has organizational consequences through the “fairness heuristic effect” (Bies & Moag, 1986; Rupp & Cropanzano, 2002).

In a strategic alliance setting, I define interactional justice as the extent to which interpersonal treatment and information exchange between boundary spanners representing each party are fair. Boundary spanners are the leading executives that the different investing parties appoint to an alliance as representatives. The top management team in a cross-cultural strategic alliance, therefore, is made up of boundary-spanning executives from different countries working at the organization-organization interface and performing the roles demanded by their respective parent organizations as well as by the joint venture or alliance charter or constitution (Schuler, Jackson, & Luo, 2003). Each boundary spanner is both the originator (toward the other) and the recipient (from the other) of interactional justice in a dyadic link between two spanners. Here, *fairness* is defined as compliance with social sensitivity—including the provision of honesty, courtesy, openness, feedback, mutual understanding, and respect for each others’ social norms—in the course of interpersonal treatment. Such social or interpersonal sensitivity has been found to have a significant impact on local-expatriate relationships and local employees’ incentives and productivity in a setting of cross-cultural alliances (Chen, Choi, & Chi, 2002). In a series of interviews conducted in Nanjing and Shanghai, local executives told me that, when their foreign counterparts showed more respect and openness toward them, they became more attached to foreign counterparts and perceived higher fairness in interpersonal treatment. I also learned from these interviews that some local executives felt unjustly treated by foreign counterparts when they received neither courtesy and respect nor cultural sensitivity and mutual understanding. Although some elements of interactional justice overlap with communication and trust in strategic alliances, interactional justice specifically addresses the fairness of personal interactions between boundary-spanning executives who work together at an alliance. Interactional justice focuses on social

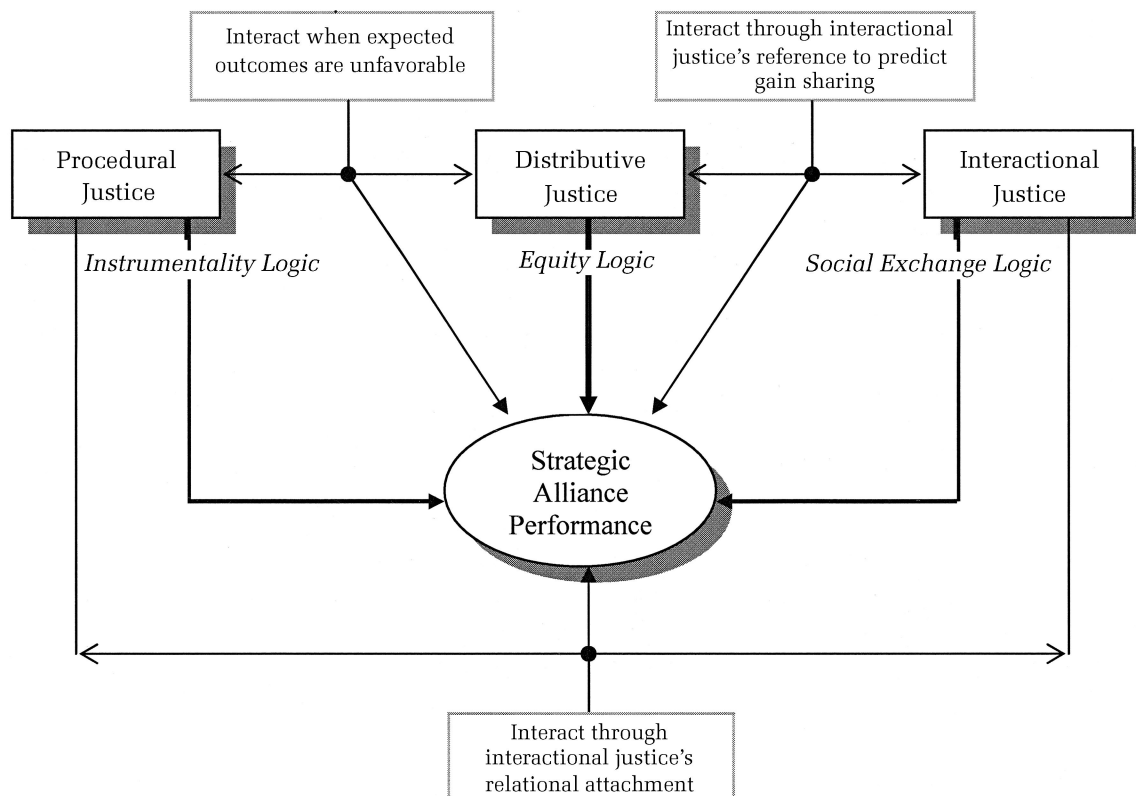
sensitivity in personal interactions; interactional justice and communication reinforce each other.

A Theoretical Framework of Justice in Alliances

Figure 1 schematically depicts a theoretical model of justice and performance in strategic alliances. Although justice is a foundation for all types of economic transactions, each form of justice possesses a unique emphasis, function, and objective and has a peculiar theoretical underpinning to explain the value it adds to the results of cooperation. Equity theory (Adams, 1965) sheds light on the importance of fair distribution of resources and outcomes in exchange relationships and underscores the link between sharing returns and each party's actual contribution and responsibility. According to this theory, equity is the basic norm of distributive justice, and inequity leads not only to the dissatisfaction of a suffering party but also to other harmful consequences, such as discontinuity of ongoing exchanges, jeopardy in adaptation, and reduction of commitment, consequences that eventually harm the relationship itself (Adams, 1965: 267–270). Equity theory also suggests that individuals or parties are more likely to commit to an

existing relationship, even under uncertainty, if they believe that rewards will be commensurate with their efforts (Walker & Pettigrew, 1984). Through the equity effect, distributive justice is a normative force that affects each participant's motives for repeated exchanges. If participants believe they are treated unfairly as to outcome sharing, their incentives are hindered and they may even work against each other's interests; interparty conflicts, unstable interdependence, or even partnership termination may result (Johnson, Korsgaard, & Sapienza, 2002). Similarly, alliance theorists hold that inequity in gain sharing that is disproportional to a party's contribution yields the potential hazard of opportunistic behavior (i.e., self-interest seeking with guile) in a continuing collaboration, which then creates a significant obstacle to confident cooperation (Hennart, 1988; Parkhe, 1993; Williamson, 1999). Because instability is inherent in the fact that the parties to an exchange interdependently share pooled resources while maintaining their respective parent identities, a strategic alliance's evolution relies partly on equity in gain sharing. With equity in play, distributive justice also reduces transaction costs (i.e., firms perceiving the threat of inequity face greater need for screen-

FIGURE 1
A Theoretical Model of Justice and Performance in Strategic Alliances



ing, negotiating, and monitoring partners' behavior) as well as coordination costs (i.e., inequity accentuates a need for realigning the interdependence of tasks and resources along organizational boundaries) (Gulati & Singh, 1998).

Although equity theory offers insights into the importance of distributive justice, the instrumentality paradigm explicates the role of procedural justice. In this paradigm, fair procedures lead to favorable outcomes through process control (Thibaut & Walker, 1975). Distribution of these controls among different parties or individuals is the key procedural characteristic that shapes individuals' views about the fairness of procedures. Individuals view procedures as most fair when control is vested in participants (Tyler, 1989). People prefer procedures that maximize their personal outcomes, and procedural control is perceived as the best means for ensuring the best personal outcome (McFarlin & Sweeney, 1992). The instrumental perspective assumption is that parties do not often have information regarding the trustworthiness of strategic partners or any information regarding the final gains shared. Therefore, parties refer to the fairness of procedures in decision-making participation or sharing to determine the trustworthiness of an authority or other party and react positively to that party or joint activities if procedural fairness is present (Lind, 2001). Further, according to this perspective, procedural justice can affect distributive justice in such a way that when procedural information is available before outcome information, the information about procedures will affect judgment about the fairness outcomes (Brockner, 2002). Complementing this paradigm, alliance theory suggests that procedural control exercised jointly by both parties is instrumental in directing alliance evolution, monitoring each party's behavior, and governing decision making and implementation (Mjoen & Tallman, 1997; Ring & Van de Ven, 1994). Furthermore, jointly exercised procedural control improves collective governance over joint activities and minimizes appropriation concerns during knowledge exchange between parties (Gulati & Singh, 1998).

Social exchange theory underpins the logic of interactional justice. Unlike procedural justice and distributive justice, which are largely embedded in economic exchange, interactional justice is incrementally embedded in a social exchange climate, which is not bound by any specified terms or responsibilities but by the social norms prevalent in the society surrounding social relationships (Blau, 1964; Granovetter, 1985). Boundary spanners are willing to commit to such relationships because (1) cooperation is initiated by the expectation that an

individual's contribution will be reciprocated in the future by its receptor; (2) if an individual violates these social norms, he or she loses "face" value, or reputation, in the community or society, which in turn hampers future attempts to cooperate with others; and (3) partners in most strategic alliances have previously cooperated in various ways, giving rise to trust between parties and between their executives. This precipitated trust, along with the fact that most parties target long-term cooperation in strategic alliances, increases the level of social embeddedness embodied in interactions (Levinthal, 1980). Corroborating this view, research on strategic alliances suggests that fair treatment in interpersonal relations and information sharing strengthens relational attachment between boundary spanners, which may in turn become social capital that nourishes cooperation (Luo, 2001; Seabright, Levinthal, & Fichman, 1992). According to these authors, relational attachment reflects the degree to which boundary spanners from each party are socially bound through their development of interpersonal relationships and information sharing or learning. Without fair treatment in interpersonal relationships, the interaction between spanners becomes an economic rather than a social process, and solely economic interaction is difficult to sustain for long (Gulati, 1995; Inkpen & Beamish, 1997).

From Theory to Hypotheses

Building on the theoretical underpinnings discussed above, this section contains hypotheses about how the three forms of justice separately and jointly influence strategic alliance performance, measured in this study by asset turnover (sales revenues divided by total assets). Although this measure does not represent all aspects of strategic alliance performance, it has some strength. First, its revenue portion partially captures financial return or profitability. Second, sales revenue is often the prime target of investment in an emerging market (the data setting of this study) and is thus an appropriate performance indicator for such investment. Third, asset turnover is the most important measure for showing that total assets are used efficiently, and, and such efficiency is an important outcome for macrolevel justice.

Individual Effects

As each form of justice improves, unilateral commitment of resources from each party and reciprocal sharing of expertise between parties both rise. Thus, the three forms of justice are likely to have

individual and favorable impacts on alliance performance. When higher distributive justice bolsters the perception of equity, each party's incentive for interpartner exchange becomes stronger because of increased confidence in impartial gain sharing. This confidence also energizes forbearance, which then helps stabilize organizational performance (Buckley & Casson, 1988; Das & Teng, 1998) and a cooperative environment (Deeds & Hill, 1998). Given the intermingling of resources in strategic alliances (Hennart, 1988) and their well-recognized high failure rate (Blodgett, 1992), executives from each party in an alliance may anticipate no guaranteed ultimate payoff. As such, when they gauge dyadic and dynamic relations with the other party and strategically plan their own party's commitment to the alliance, they will likely attach greater importance to the fairness of outcome distribution than to the outcome itself. One interviewed senior executive commented that he would not mind if the alliance did not make profits in the first three years; what mattered to him was whether gain and loss sharing between parties was fair. Fair treatment in outcome distribution helps remove fears of exploitation and stimulate openness of communication between boundary spanners (Johnson, 1997; Skarlicki & Folger, 1997; Tyler & Bies, 1990). Opportunism may simply be, as Barney stated (1999: 143), part of the cost of gaining access to special capabilities controlled by another firm that cannot be developed internally or secured through acquisition in a cost-effective way; however, enhanced distributive justice can reduce this opportunism and facilitate mutual access to, and sharing of, partners' pooled resources. This situation will be conducive to good alliance performance on measures such as asset turnover.

Under higher procedural justice, each party's incentive for commitment and cooperation is also stronger because fair procedures, rather than expected favorable payoffs, really determine a party's behavior and commitment (Lind & Tyler, 1988). Procedural justice is particularly instrumental in creating standards and norms of expected behavior and establishing an effective governance structure that encourages cooperation (Folger & Konovsky, 1989; Tyler, 1989). These norms facilitate daily exchanges and routine operations. The growth of relational value emanating from this improvement may transform into increasing asset efficiency through improved governance, which strengthens process control and process effectiveness for both primary activities (e.g., production, inbound or outbound logistics, and marketing) and support activities (e.g., procurement, innovation, and human resource management). In addition, procedural

justice improves the effectiveness of formalized and routinized policies in a particular relationship because formalized procedures in joint control are unbiased toward both parties and thus viewed as safeguards against dysfunction (Brockner, 2002; Skarlicki & Folger, 1997). In foreign joint ventures in Vietnam, for instance, managerial control and monitoring became more streamlined or effective when such control was procedurally just to all parties (Barden et al., 2005). Furthermore, favorable procedural justice increases interpartner conformity in strategic responses to major events or market changes, even though the consequences of such events may be unfavorable to one party (Kim & Mauborgne, 1998). Alliance performance as measured by asset turnover is expected to increase with the above improvements.

Finally, high interactional justice increases solidarity between boundary spanners, reduces interparty conflicts, and improves interorganizational attachment (Mohr & Spekman, 1994; Nooteboom, 1996). Increased interactional justice also improves teamwork at senior levels, which stimulates coordination, understanding, and learning and thus alleviates coordination and bureaucratic costs. According to social exchange theory, interorganizational attachment is often originated from, developed through, or manifested in interpersonal links between boundary-spanning executives (Seabright et al., 1992). Through improved relationships and mutual learning between boundary-spanning executives, interactional justice can reduce incongruities between parties in corporate culture and managerial style, which spurs sharing and cooperation between parties. It is reported, for instance, that superior interactions between local executives and foreign expatriates, such as open communications, timely feedback, mutual respect, and interpersonal learning, can significantly curtail differences in parent culture, strategic philosophy, and routine administration for United States-China alliances (Beamer, 1998). Boundary-spanning executives in an alliance represent their parent companies; their views toward interactional justice and their personal interactions with counterparts influence parent actions in interparty exchanges. Increased interactional justice between boundary spanners will therefore facilitate parent-level collaborations and contribute to alliance performance measures such as asset turnover. In light of the above discussions, I propose:

Hypothesis 1. The relationship between each form of justice (procedural, distributive, and

interactional) and alliance performance (as measured by asset turnover) is positive.

Interactive Effects

Figure 1 also shows the theoretical logic behind the interaction between different forms of justice in relation to alliance performance. A key notion in justice theory is that procedural and distributive justice can function together to determine perceptions and contributions of fairness, especially when expected outcomes are unfavorable (Folger, 1987; Lind, 2001). In this circumstance, people use their evaluations of process and outcome to generate a global impression of the fairness of an authority, which they then use to determine whether or not to accept the authority's mandates. If their evaluations of process and outcome are simultaneously high, they will have more positive reactions to their encounters with other people, groups, and organizations, despite any anticipated outcome unfavorability (Brockner & Wiesenfeld, 1996; Lind, Kulik, Ambrose, & de Vera Park, 1993).

This view may apply to the strategic alliance context as well. Although strategic alliance partners cannot accurately predict outcome favorability or joint payoff in advance, because of a large array of organizational and environmental contingencies (Parkhe, 1993), they generally gauge cooperation risks and returns from goal differences between parties (Beamish & Banks, 1987). Differences in the strategic goals underlying each party's strategic alliance formation hamper their perception and commitment toward the favorability of collective gains. This goal disparity increases opportunism (Hill, 1990). When goal differences are high (for instance, a local party seeks knowledge acquisition whereas a foreign party seeks global market expansion), the joint force of distributive justice and procedural justice becomes more salient in mitigating opportunistic behaviors. With high goal differences in place, a party's responses and commitments to joint activities depend more strongly on its perceptions of how the other party treats it in both processes and outcomes (Luo, 2005). Confidence and commitment will be higher if outcomes resulting from fair procedures are seen as justified. According to the instrumentality logic, when intergroup objectives and values significantly differ, people attach greater importance to procedure fairness and outcome-sharing fairness in determining their organizational citizenship behaviors (Farh, Earley, & Lin, 1997; Folger, 1987; Konovsky & Organ, 1996). In the presence of high goal differences between strategic alliance parties, the combination of increased procedural justice and increased distributive jus-

tice is expected to reduce the hazardous impact of goal differences on alliance performance. If goal differences are low, the combined effect may not be significant (but procedural justice and distributive justice still create their individual effects separately), because it is significant goal differences that propel strategic alliance parties to demand greater justice in both decision-making processes and gain sharing at the same time so that fairness prevails in the entire cooperative chain comprising both procedures and outcomes.

When parties have highly different goals, they are unlikely to be satisfied if they perceive only high procedural justice or only high distributive justice. Instead, parties want the complementary effect of both forms of justice: distributive justice helps establish a fair incentive system that shares out collective gains generated through a series of fair procedures set forth by both parties, and procedural justice helps establish an effective channel for realizing these gains distributed on the basis of distributive justice. Put alternatively, when goal differences are high, a party may have some tolerance if only procedure or only outcome distribution is unjust. However, if both procedure and outcome distribution are unfair, it may exit from this alliance. The break-up of Peugeot's joint venture in Guangzhou, an example previously noted, may in part have had to do with this: Peugeot realized substantial goal differences with the Chinese side from the very beginning (the French investor aimed at local sales, but the local partner had its eye on employee training and content localization). Peugeot's real contributions (e.g., knowledge, technology, training) to the venture also far surpassed its contractual obligation (it only shared 22 percent of ownership and profit). Nevertheless, Peugeot tolerated these goal differences and distributive injustice until its power in participating in joint decisions was weakened and its voice was ignored (procedural injustice). These arguments lead to:

Hypothesis 2. When goal differences between parties are high, the two-way interaction between procedural justice and distributive justice is positively related to alliance performance (as measured by asset turnover).

Per social exchange theory, economic actions, including formal outcome allocations and structural procedures of interfirm exchange, are nurtured or promoted in a socially embedded structure (Granovetter, 1985). This view implies that social exchange structure can moderate the consequence of formal allocation processes and structural procedures. Similarly, justice theorists suggest that procedural justice and distributive justice are impor-

tant and necessary, but not sufficient, to cause individuals to react positively to a decision maker or to make organizational commitments (Bies, 2001; Folger, 1987; McFarlin & Sweeney, 1992). When procedural justice and distributive justice are accompanied by improper interactional justice conduct, recipients may feel particularly resentful toward decision makers. Socially acceptable conduct that fulfills these decision makers' interactive fairness or moral obligations dissociates them from unfavorable reactions or resentment (Brockner & Wiesenfeld, 1996). Provided that interactive fairness is established and enforced, procedural justice or distributive justice may be further facilitated to improve outcomes in a superior environment.

Specifically, justice theorists suggest that, in a volatile environment (such as the setting of this study), exchange parties often use interactional justice as a reference to gauge fairness in gain sharing (Cropanzano et al., 2002; Welbourne, Balkin, & Gomez-Mejia, 1995). A party receiving superior interactional justice may have higher satisfaction with a given level of distributive justice; this heightened satisfaction increases the party's commitment to joint activities, thus making that level of distributive justice more contributive to alliance performance (Tyler, 1994). Similarly, social exchange theorists suggest that when interactive procedures are fair, boundary spanners' needs for self-esteem and self-identity are likely to be satisfied (Williams, 1988). With improved identity and esteem, the role conflict and role ambiguity of boundary spanners are reduced. Boundary spanners on both sides of a strategic alliance will grow into a stronger team, one that can make better decisions in repeated exchanges (Shenkar & Zeira, 1992). An executive at Xerox's joint venture in Shanghai explicitly commented in an interview that, as personal interactions between different party representatives improved, decision making for joint activities, such as new investments, product development, market expansion, and financial planning, became more efficient and effective. In these circumstances, distributive justice may add more value to cooperation outcomes such as alliance performance because senior managers' reactions to distributive equity are more positive when they use improved interactional justice to predict the future justice of outcome distribution (Tyler, 1989).

Meanwhile, improved interactional justice offers a better social environment within a strategic alliance and improves information sharing and personal relationships between the boundary spanners representing different parties. Per justice theory, improved information sharing and interactions between parties help create a better environment in

which to develop, comprehend, and comply with procedures, an environment that intensifies the contribution of procedural justice to group performance (Korsgaard, Schweiger, & Sapienza, 1995; Tyler, 1994). Meanwhile, alliance research documents that interactional justice can compensate for procedural justice's limitations in governing alliance adaptation and change in a dynamic market. Neither contractual nor structural mechanisms can completely govern and monitor long-term operations of strategic alliances, given the fact that no party can anticipate changes in market and regulatory conditions (Das & Tang, 1998; Meyer, 2001; Poppo & Zenger, 2002; Williamson, 1999). This limitation, however, can be redressed in part by relational attachment between top executives, fostered by fairness in information sharing and social interactions (Luo, 2001). Johnson (1997) reported that, in the context of United States–Canada alliances, procedural justice contributes more to partner commitment when personal interactions between boundary spanners are superior. With strong interactional justice operating, procedural justice is thus likely to be more powerful in augmenting the returns on cooperation. Accordingly,

Hypothesis 3a. When interactional justice is higher, the positive relationship between distributive justice and alliance performance is stronger.

Hypothesis 3b. When interactional justice is higher, the positive relationship between procedural justice and alliance performance is stronger.

METHODS

Data Collection

I used cross-cultural strategic alliances in China as the empirical setting in which to test hypotheses. Today, China is the world's largest production center for global manufacturers and attracts, on average, \$140 million in foreign capital per day. About 65 percent of such capital is invested through strategic alliances. These alliances are a productive setting in which to examine the processes and outcomes of cross-border cooperation, given the complex nature of alliance projects and the broad diversity of foreign investors in such projects. For this study, I collected data from three major sources: (1) an initial survey, conducted from May to August 2000, targeted at alliance CEOs (general managers), who responded to questions concerning alliance background, their own justice perceptions, goal differences between parties, and the name of

the leading manager (typically, the senior deputy general manager) who represented the other party in the alliance, (2) a second survey, conducted right after the first, targeted to the second party's justice perceptions, and sent to the chief manager whose name had been given by his or her counterpart in the first survey, and (3) archival data, used to measure asset turnover and several control variables. The two survey questionnaires were initially cross-checked by four management professors in China and further tested for instrument validity with 18 strategic alliance managers. On the basis of feedback from the scholars and managers, I reworded questions or terms that were considered ambiguous.

Sample strategic alliances were identified from the CD-ROM Directory of Foreign-Invested Enterprises compiled by the Ministry of Foreign Trade and Economic Cooperation (MOFTEC) in China. The sample was limited to strategic alliances with one foreign parent and one Chinese parent operating in manufacturing in the province of Jiangsu. (I obtained outcome information from the province's local authority, which had been established for at least three years; most survey questions referred to the past three years.) Although using a single province as the source for this study has its limitations, Jiangsu, with about 80 million people, is perhaps the best setting in which to analyze strategic alliances in China. First, it is the Chinese province ranked second in luring foreign capital and third in generating gross national product. Second, it has both very developed and much less developed regions, akin to the nation as a whole. Finally, its policies toward strategic alliances are very similar to other provinces' policies. Following the above criteria, I selected a random sample of 440 strategic alliances. From the first survey, 176 completed questionnaires were collected, with one reminder used (a 40 percent response rate). From the second survey, 127 completed questionnaires were collected from the counterpart managers. The 127 alliances for which both a local CEO and a foreign parent counterpart responded therefore served as the study's final sample. The sampled firms originated mainly in Europe, the United States, and other Asian countries. On average, sample firms were 7.23 years old by the end of 2000, with 454 employees and \$7.03 million in investment capital. About 72 percent of them were equity-based joint ventures, with others being coproduction alliances with operating entities. On average, the respondents in the two surveys had been working for 3.5 years (by the end of 2000) with their current strategic alliances and had approximately 2 years experience working on other alliances before joining

their current strategic alliances. We checked the nonresponse bias on the basis of the information from the aforementioned Directory. The mean differences between responding and nonresponding firms along major firm attributes such as total investment, foreign equity, duration, registered capital, and age were contrasted using a *t*-test; all *t*-statistics were nonsignificant ($p > .10$). Semi-structured interviews were also conducted with 15 respondents as a check on their response accuracy. The results (a Guttman split-half *R* that was greater than .88) showed a high consistency between the respondents' interview reports and their survey answers.

Measurement

Using my early definition of each form of justice in strategic alliances and drawing from several studies in both the justice (Kim & Mauborgne, 1993; Lind et al., 1993; McFarlin & Sweeney, 1992; Tyler, 1994; Tyler & Bies, 1990; Welbourne et al., 1995) and alliance literatures (e.g., Johnson, 1997), I developed a multi-item construct to measure each justice variable, all on a seven-point Likert scale. The Appendix gives scales and items. Specifically, procedural justice was measured as the average of eight items that address the fairness of various procedures used in formulating and managing an alliance, governing exchange, and executing joint decisions and contracts. Distributive justice was measured as the average of four items that capture the fairness of reward and return sharing in view of each party's contributed resources, continued commitment, amount of effort, and level of responsibility. Interactional justice was the average of six items that reflect interpersonal and interactional treatment. In the main (first) survey, the Cronbach's alpha coefficients for procedural justice, distributive justice, and interactional justice are .77, .88 and .84, respectively, values demonstrating a satisfactory internal consistency for all justice variables. In a rotated three-factor analysis, items for procedural justice, distributive justice, and interactional justice clearly loaded on three different factor structures, hence demonstrating the discriminatory validity that differentiates the three justice constructs. With the exception of one questionable procedural justice item (omitted from the analysis), the procedural and distributive justice items had high loading coefficients (.70 or higher). In keeping with these coefficients, communality estimates of the procedural (.85-.93), distributive (.89-.95), and interactional justice items (.88-.96) were all high. These coefficients and estimates validated the appropriateness of individual items constituting pro-

cedural, distributive, or interactional justice. The final scores for the three forms of justice were computed in two steps: First, I obtained the mean (average) of the two parties' perceived procedural justice, distributive justice, or interactional justice. Second, this mean was weighted by the interparty agreement index (r_{wg}) in each justice variable between the two parties (James, Demaree, & Wolf, 1984: 88).³

As the alliance performance variable, *asset turnover* was measured with archival data collected from the Jiangsu Commission of Foreign Trade and Economic Cooperation. Asset turnover was defined as average annual sales divided by average total assets over the three-year period (1998–2000). I obtained the performance information from a separate, archival source in an effort to reduce common method variance. Asset turnover does not indicate all aspects of alliance performance; nevertheless, as Arino (2003) verified, this type of measure is highly correlated

with other objective (e.g., profitability) and subjective (e.g., overall satisfaction) performance outcomes.⁴ To probe whether perceived justice automatically reflected overall satisfaction with previous performance, I also checked the partial correlation (i.e., correlation after other study variables are controlled) between justice variables and previous asset turnover (1996–97). The results (.15 for procedural justice, .08 for distributive justice, and .11 for interactional justice) suggest an absence of autocorrelation.

In all tests I controlled for effects of *industry* (compound sales growth, 1998–2000, based on the *China Statistical Yearbook*), *location* (a city's gross domestic product growth, based on the *Jiangsu Statistical Yearbook*), *size* (millions of dollars in investment), *alliance age* (number of years in existence by 2000), *alliance form* (1 = "equity joint venture," 0 = "other"), and national level *cultural distance*. Cultural distance was calculated with Kogut and Singh's (1988) composite index and Hofstede's latest data set (2001: 500–502), which contain five cultural dimensions, including power distance, uncertainty avoidance, individuality, masculinity, and long-term orientation ($CD = 1/5 \sum [(D_{if} - D_{ic})^2 / V_i]$, where V_i is the variance of cultural dimension i , and D_{if} and D_{ic} are the scores of cultural dimension i for the

³ For instance, the equation for interactional justice can be expressed as $(interactional\ justice_1 + interactional\ justice_2)/2 \times r_{wg(interactional\ justice)}$. Adding the interparty agreement index (r_{wg}) as the weight captured the perceptions that are common to both parties (e.g., $[4 + 5]/2 \times 0.90 = 4.05$ vs. $[3 + 6]/2 \times 0.70 = 3.15$). Prior research suggests that commitment or cooperation is higher when both parties' perceptions of justice are high than when one party perceives high justice but the other perceives low justice (Klein, Conn, Smith, & Sorra, 2001). Collective perceptions of justice thus must capture this agreement. Where MS_{xj}^2 is the mean interrater variance on j items and σ_{eu}^2 is the variance on the measurement scale, $r_{wg} = [j(1 - (MS_{xj}^2/\sigma_{eu}^2))] \div [j(1 - (MS_{xj}^2/\sigma_{eu}^2)) + (MS_{xj}^2/\sigma_{eu}^2)]$ (see James et al., 1984: 88).

⁴ To avoid any possible common method variance, I chose to use the archival data to measure alliance performance, rather than the subjective assessment from the survey (the respondents' reported satisfaction with alliance performance). I attempted to use market share as well but could not obtain this archival information despite many efforts.

TABLE 1
Descriptive Statistics and Pearson Correlation Matrix^a

Variables	Mean	s.d.	1	2	3	4	5	6	7	8	9	10
1. Procedural justice	4.78	1.48										
2. Distributive justice	4.96	1.56	.30***									
3. Interactional justice	4.17	2.02	.20**	.22**								
4. Asset turnover	1.66	1.25	.27***	.15*	.21**							
5. Goal difference	4.70	1.53	-.16*	-.10	-.08	-.19*						
6. Cultural distance	5.81	1.46	-.08	-.07	-.21**	.05	.09					
7. Strategic alliance type (equity)	0.72	0.45	.11	.05	.07	.07	.03	-.09				
8. Strategic alliance location	8.10	2.07	.12	.07	.08	.25***	-.06	.04	.04			
9. Industry growth	13.29	3.82	.09	.06	.06	.22**	-.17*	-.08	.06	.07		
10. Strategic alliance size	7.03	3.68	.03	.06	.05	-.20*	.06	.06	.09	.16*	.08	
11. Strategic alliance age	7.23	1.86	.18*	.13	.23**	.18*	.15	.05	.08	.11	.07	.19*

^a $n = 127$.

* $p < .05$

** $p < .01$

*** $p < .00$

country of foreign origin and China, respectively). Table 1 reports the descriptive statistics and Pearson correlations between all related variables.

RESULTS

Multiple regression analysis to verify the individual effect of each form of justice was conducted first. Table 2 presents results of this analysis. Estimated variance inflation factors (VIFs; 1.2–1.8) for all predictor and control variables suggested an absence of multicollinearity among them. A modified Kolmogorov-Smirnov test also validated the normality of these variables as well as dependent variables ($p > .20$ for each). Overall, procedural, distributive, and interactional justice were individually and positively associated with asset turnover, though the coefficients for procedural and interactional justice were more significant ($p < .01$ or lower) than those for distributive justice (Table 2: $p < .05$ in model 2 and $p < .10$ in model 3) in relation to this performance measure. This result supports Hypothesis 1. A comparison of model 2 with model 1 (the base model composed of a group of control variables) suggests that the inclusion of

three justice variables significantly adds to the model's power to explain the variance of asset turnover (hierarchical $F = 9.77$, $p < .001$).

Table 2 (model 3) also reports the results pertaining to two-way interactions (all interaction components were centered using Aiken and West's technique [1991: 28–45]). Interestingly, the two-way interactions between procedural justice and distributive justice and between interactional justice and distributive justice are not related to asset turnover, but the two-way interaction between interactional justice and procedural justice is significant in relation to asset turnover ($\beta = 0.28$, $p < .001$). To further test Hypothesis 2, which proposes an interaction effect of procedural justice and distributive justice in the face of goal difference between alliance parties, I followed the steps suggested by Sharma, Durand, and Gur-Arie (1981) and performed a subgroup regression analysis; Table 3 presents these results. The mean of goal difference ($\mu = 4.70$) was the cutoff used to divide the total sample into the high goal difference group ($n = 67$) and the low goal difference group ($n = 60$) in this subgroup analysis. In the high goal difference group, the interaction between procedural justice and distributive justice is significantly and posi-

TABLE 2
Results of Hierarchical Moderated Regression Analysis for Asset Turnover^a

Variables	Model 1	Model 2	Model 3
Procedural justice		.30***	.24**
Distributive justice		.17*	.16 [†]
Interactional justice		.24**	.22**
Procedural justice × distributive justice			.10
Interactional justice × procedural justice			.28***
Interactional justice × distributive justice			.08
Control variables			
Goal difference	-.23**	-.21**	-.22**
Cultural distance	.06	.06	.06
Strategic alliance type	.05	.06	.05
Strategic alliance location	.24**	.24**	.23**
Industry growth	.26***	.25***	.25***
Strategic alliance size	-.19*	-.20*	-.21*
Strategic alliance age	.15 [†]	.15 [†]	.15 [†]
Model F	7.59**	16.25***	19.36***
R^2	.30	.44	.50
ΔR^2		.14	.06
Hierarchical F		9.77***	4.52**

^a $n = 127$. Entries are standardized regression coefficients. All interaction components were centered with Aiken and West's technique (1991: 28–45).

[†] $p < .10$

* $p < .05$

** $p < .01$

*** $p < .001$

TABLE 3
Results of Subgroup Hierarchical Regression Analysis for Asset Turnover^a

Variables	High Goal Difference: <i>n</i> = 67		Low Goal Difference: <i>n</i> = 60		Equity Joint Venture: <i>n</i> = 91		Coproduction Alliances: <i>n</i> = 36	
	Model 1	Model 2	Model 3	Model 4	Model 5	Model 6	Model 7	Model 8
Procedural justice	.35***	.30***	.23**	.21*	.32***	.24**	.26***	.23**
Distributive justice	.19*	.17 [†]	.16 [†]	.16 [†]	.22*	.20*	.13	.13
Interactional justice	.27***	.23**	.22*	.20*	.23**	.22**	.24**	.22**
Procedural justice × distributive justice		.20*		.03		.11		.07
Interactional justice × procedural justice		.30***		.23**		.29***		.26***
Interactional justice × distributive justice		.05		.04		.08		.07
Control variables								
Cultural distance	.09	.09	.04	.05	.06	.06	.05	.05
Strategic alliance location	.23**	.23**	.28***	.27***	.25***	.23**	.22**	.22**
Industry growth	.24**	.24**	.18*	.19*	.26***	.26***	.25***	.24**
Strategic alliance size	-.20*	-.18*	-.19*	-.19*	-.21*	-.21*	-.19*	-.20*
Strategic alliance age	.15 [†]	.15 [†]	.16 [†]	.15 [†]	.16 [†]	.16 [†]	.15 [†]	.15 [†]
Model <i>F</i>	11.4***	15.1***	9.1***	10.7***	10.7***	13.7***	9.5***	12.9***
<i>R</i> ²	.34	.48	.28	.38	.32	.43	.30	.40
ΔR^2		.14		.10		.11		.10
Hierarchical <i>F</i>		4.93**		2.97*		3.53*		2.99*

^a The entries are standardized regression coefficients. All interaction components are centered using Aiken and West's technique (1991: 28–45).

[†] *p* < .10

* *p* < .05

** *p* < .01

*** *p* < .001

tively related to asset turnover ($\beta = 0.20$; $p < .05$, model 2). However, in the low goal difference group, the same interaction is not significantly linked to asset turnover ($\beta = 0.03$). To further verify this effect, I plotted this interaction in the two subgroups. Figures 2a and 2b show that the interaction effect in relation to asset turnover exists in the high goal difference group (Figure 2a), but it does not exist in the low goal difference group (Figure 2b). These findings support Hypothesis 2.

As shown by the results exhibited in Table 2 (model 3), interactional justice's interaction with procedural justice is significantly favorable to asset turnover, but its interaction with distributive justice is not significant. To additionally validate Hypothesis 3, which emphasizes the interaction effects between interactional and procedural justice and between interactional and distributive justice (interactional justice was proposed as a moderator), I plotted these interactions. In keeping with the results in Table 2, the plots in Figures 3a and 3b reveal that procedural justice becomes stronger in contributing to asset turnover (Figure 3a) when interactional justice is

higher. However, the relationship between distributive justice and asset turnover remains the same regardless of the actual level of interactional justice (Figure 3b). The above evidence demonstrates that interactional justice facilitates procedural justice in bolstering a strategic alliance's asset turnover but does not facilitate the influence of distributive justice on this outcome. On the basis of these findings, Hypothesis 3b is supported but Hypothesis 3a is not. The rejection of Hypothesis 3a implies that distributive justice and interactional justice work separately, not jointly, to influence alliance performance and that unlike procedural justice, distributive justice is not significantly sensitive to social exchanges between alliance members, especially those between boundary-spanning executives representing different parties. Finally, in order to assess whether different alliance forms in the sample might present a different result regarding the relationship between justice and alliance performance, I conducted a subgroup regression analysis (models 5–8, Table 3) in which the sample was divided into equity joint ventures and

FIGURE 2
Two-Way Interactions between Procedural Justice and Distributive Justice by Levels of Goal Difference

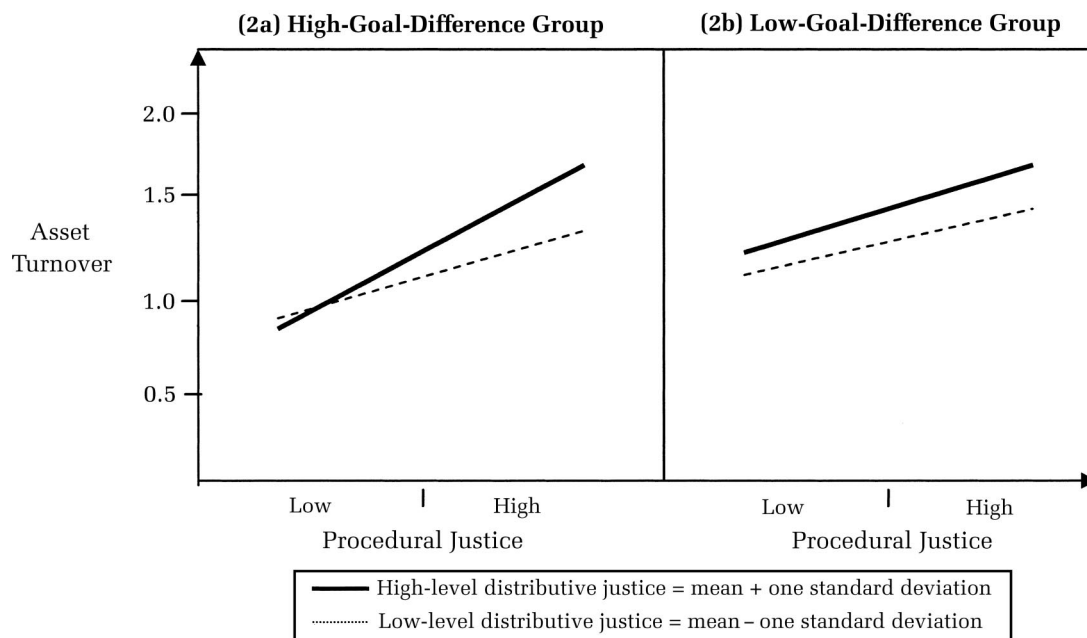
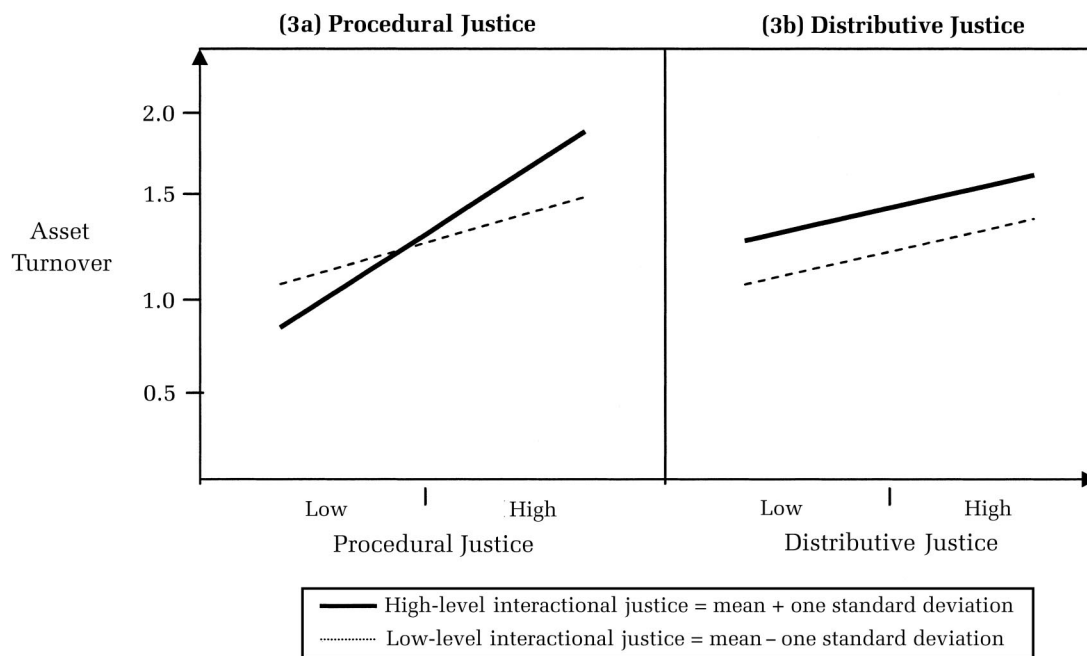


FIGURE 3
Interactional Justice Moderates the Link between Procedural Justice/
Distributive Justice and Asset Turnover



coproduction alliances. Overall, the two groups present similar results regarding the effect of procedural justice and interactional justice but different results regarding the effect of distributive

justice. In particular, distributive justice has a significant effect on asset turnover in the group of equity joint ventures but not in coproduction alliances. From this result, it can be inferred that

distributive justice is more important in tightly structured alliances than in loosely structured alliances.⁵

DISCUSSION AND CONCLUSION

This study explores how procedural, distributive, and interactional justice are individually and interactively associated with alliance performance. In my analysis of 127 strategic alliances, the main and interactive effects of the three forms of justice generally accounted for significant variance in strategic alliance performance in terms of asset turnover. Supporting predictions derived from an overarching framework that integrates justice and alliance theories, all three forms of justice are important to this performance outcome, with procedural justice and interactional justice even more salient than distributive justice. When the sample is further divided on a measure of differences in the strategic goals of the parties to an alliance, these results remain consistent in both the high and the low goal difference groups. When the sample is divided by alliance form (equity joint venture vs. coproduction alliance), the three forms of justice are all critical in equity joint ventures, but only procedural justice and interactional justice remain significant in coproduction alliances. I hypothesize and validate that, in the face of a high level of goal differences between alliance parties, procedural justice and distributive justice significantly interact with each other and jointly influence alliance performance. There is also a stronger relationship between procedural justice and performance (but not between distributive justice and performance) when interactional justice increases. That is, in an environment where interactional fairness is superior, procedural justice tends to contribute more to an strategic alliance's asset turnover. This facilitating role of interactional justice in the procedural

justice–performance link exists in all subgroups (divided by goal difference or alliance form).

The main results of the present study add meaningful information to the literature on alliances. This study defined the three forms of justice in the alliance context and validated the constructs of these variables. These conceptual attempts may help future investigation of this issue in the realm of strategic alliances or networks in general. For instance, using my definition, construct, or framework, one may discern in what specific ways these forms of justice shape each party's cooperative behaviors, such as ongoing commitment, conflict mitigation, forbearance, and risk taking. Moreover, I document that justice influences strategic alliance performance measured as sales revenue per dollar of total assets. Strategic alliance performance is a critical research issue, and yet its link with justice has not been previously established. Extensive research on joint ventures or strategic alliances has established that alliance performance is determined by both economic/structural factors, such as contracting, control, complementarity, and governance (e.g., Beamish & Banks, 1987; Dyer, 1997; Geringer & Hebert, 1989; Ireland, Hitt, & Vaidyanath, 2002; Park & Ungson, 1997; Parkhe, 1993; Reuer & Arino, 2002; Ring & Van de Ven, 1992; Yan & Gray, 1994), and social/relational factors, such as trust, attachment, familiarity, and interpersonal relationships (e.g., Das & Teng, 1998; Gulati, 1995; Inkpen & Currall, 1997; Levinthal & Fichman, 1988; Luo, 2001; Zaheer et al., 1998). This study shows that justice is another important social or relational determinant of joint venture performance. Although the study cannot show the relative power of justice in comparison with other social or relational factors, it demonstrates that the three aspects of justice both individually and interactively influence joint venture performance in a significant manner. This finding reveals a difference between justice and other social or relational variables—that is, justice entails three distinctive constructs—procedural justice, distributive justice, and interactional justice—each of which follows a unique logic and path in affecting interparty cooperation and joint venture performance.

Indeed, presenting all three forms of justice in an integrated model enabled comprehensive assessment of the importance of all of the related forms. I argue that distributive justice improves alliance performance through the equity effect, which reduces relational risk; interactional justice improves alliance performance through the social exchange effect, which enhances relational attachment; and procedural justice improves alliance performance through the instrumentality effect, which fortifies

⁵ It should be noted with caution that this result was based on a small sample (there were only 36 in the subgroup of coproduction alliances). Also, these coproduction alliances, and the results about them, may not represent all kinds of non-equity-based cooperative alliances or networks. In this sample, coproduction alliances had their own operating entities, although they were not financially and legally independent. Since many contractual alliances and cooperative networks do not have their own operating entities, further research should investigate how the three forms of justice play their roles individually and interactively in more loosely structured networks or alliances and how these roles systematically differ from those in equity joint ventures.

relational value. Jointly, their interactions prevail because fairness in one aspect reinforces justice in another (a referent cognition effect) or contributes to a more suitable environment in which other justice forms function (an adaptive or complementary governance effect). More specifically, interactional justice fosters procedural justice by providing a better social environment that complements the formal process of interparty exchange, in which boundary-spanning executives often make routine decisions. Because people use their evaluations of both process and outcome to generate a global impression of fairness under uncertain conditions, the combined effect of procedural and distributive justice is also stronger when alliance parties' strategic goals are more significantly different.

Extant theories on cooperation processes mainly focus on managerial control (e.g., procedural formalization) or safeguard mechanisms (e.g., incentive structure and contract), leaving cognitive, affective, and behavioral reactions to interorganizational justice virtually unexplored. The current framework and analysis provide an additional and complementary perspective on the process and outcome of interfirm cooperation. I construed that justice is an important building block of the cooperation process and that it has important repercussions for the outcomes of cooperation. The process domains of justice include cooperation procedures, reward-distribution schemes, and interpersonal treatment between boundary spanners. Procedural justice complements procedural formalization by capturing the fairness and acceptance aspect of procedures; very detailed procedures may not improve alliance performance if they are not fair to both parties. It is this fairness in formalized procedures that holds each party's confidence and makes these procedures more instrumental in the course of daily operations. Similarly, distributive justice complements incentive structure by linking payoff sharing with each party's contribution, commitment, and responsibility. Gain sharing based on ownership distribution may or may not reflect justice or equity, and this equity is the foundation for reciprocity, a key to ongoing interfirm exchanges. In a recent field study in China, I often heard complaints from foreign investors as well as local companies that their profit sharing based on ownership distribution was inconsistent with their real contributions. Lastly, interactional justice adds fairness in interparty interactions, and its importance, as documented above, includes not only individual but also moderating effects on alliance performance. Previous studies have already established that

interparty attachment is important to cooperation outcomes (Levinthal & Fichman, 1988; Luo, 2001; Seabright et al., 1992), and interactional justice complements this attachment.

These complementary effects can also be seen from the joint effects of the three forms of justice. Justice theorists hold that equity and instrumentality are both important foundations for cooperative behaviors and that they function in complementary and heuristic ways. Building on this view, I explained that equity attenuates relational risk, and instrumentality spurs relational value and curbs relational risk. Boundary-spanning parties need justice in procedures, distribution, and interaction to foster repeated economic exchanges that are gradually embedded in a social exchange context. Rooted in social exchange theory, interactional justice strengthens relational attachment, which may not only transform into trust but may also create a more adaptive climate that encourages distributive justice or procedural justice to play a role. Their joint effect implies that an adaptive governance system can be built in a strategic alliance through these forms of justice that monitor economic as well as social exchanges. The concept of adaptive governance has recently received increased attention (Luo, 2002; Poppo & Zenger, 2002; Williamson, 1999), and I view procedural justice, distributive justice, and interactional justice as critical parts of this governance architecture. Meanwhile, I realize that alliance theories, especially cooperation and control explanations, are helpful in explicating a macrolevel justice phenomenon. A party's organizational behavior in reaction to justice depends on how this party safeguards its own interests in the course of mutual commitment to boundary-spanning exchanges. Private control and reciprocal cooperation coexist in this course, requiring a justice or equity foundation to avoid the hazards of private control and to nourish rent generation from cooperation.

This study also offers some practical implications, especially for cross-cultural alliance executives. As an executive expressed to me during a recent trip to China, internal stability inside an alliance is critical to alliance success, particularly for alliances operating in a volatile market. Maintaining this internal stability is a daunting challenge, especially when two parties have very different goals. Establishing and adhering to procedural, distributive, and interactional justice may go a long way in maintaining such stability and, as shown by the present study, can contribute to success in strategic alliances. During recent visits to foreign joint ventures established by Siemens, Phillips, Lucent, Avon, Gillette, and Nestlé in

Jiangsu and Zhejiang provinces, I was repeatedly told by their executives that the words exchanged or thoughts imputed in interpartner conflict actually did not matter much; what mattered was whether or not justice in gain and loss sharing, decision-making procedures, and cross-cultural interactions was in place. These executives believe that as long as justice is present in these areas and all parties experience fairness, conflicts between alliance parties fade away quickly and do not cause severe damage because the conflicts are unlikely to turn into partner actions against sharing and cooperation. One executive at Phillips's joint venture in Nanjing commented that no joint venture contract is complete, especially in China, and justice thus becomes a critical foundation for ongoing collaborations between alliance partners, who often face many unexpected contingencies and uncertainties. The key results of this study suggest that alliance executives should treat organizational justice as the system encompassing not only procedural justice but also distributive justice and interactional justice, given the individual and joint effects of the three aspects of justice that this study documented. In addition, they should anticipate complementary gains from the coexistence of the three aspects of justice, especially in the face of goal differences between parties. Interviews in Shanghai, Jiangsu, and Zhejiang left the impression that most alliance executives have realized the importance of justice but not yet purposely designed organizational justice systems. The above results suggest that such system design is important because alliances can benefit most when the three aspects of justice work both independently and interactively.

Future research needs to address some limitations of this study and further advance research on organizational justice in strategic alliances. First, I scrutinized a link between justice and outcomes but did not unveil whether such links are established through any intermediaries or mediated by any other variables. I argued that justice influences asset turnover because of increased relational value or attachment or decreased relational risk. However, other factors also determine such value, attachment, and risk; these include interparty familiarity, cooperation history, resource complementarity, unilateral commitment, and goal congruity. Are these factors simply the antecedents of justice, or intermediaries between justice and performance, or moderators of the justice-outcome link? Knowing the roles of these variables could help researchers accurately identify the path toward attaining superior justice and satisfactory cooperation at the same time. Because I measured alliance performance by asset

turnover only, clearly a limitation, future research should include more performance indicators (both objective and subjective) to accurately and comprehensively reflect multifaceted alliance performance.

In addition, I emphasized how current justice affected current outcomes but could not tell how stable such relationships would be longitudinally. Would they simply be linear over time or curvilinear, reaching an optimal point at which the contribution of justice to the outcomes of cooperation stops or declines? Justice is not a panacea for all performance problems. When external and internal conditions change, the relative importance of justice may also change. Furthermore, I examined the importance of different forms of justice but did not analyze when they became even more important. The importance of justice is expected to vary in different strategic alliances, and even within a particular alliance, under various conditions. For instance, will justice be more essential under greater environmental uncertainty or in strategic alliances whose parents are very unequal in bargaining power? Does the joint effect of procedural, distributive, and interactional justice also become more important in these circumstances?

Finally, I addressed the consequences of justice but did not uncover how justice is determined in the first place. Justice itself is endogenous and affected by other variables. More importantly, each form of justice may have its own unique determinants. For instance, interactional justice may be more affected by individual attributes such as work experience and educational background, and procedural justice may be more influenced by business needs and dyadic relations between alliance partners. Moreover, I verified my propositions using samples from a single country and could not report how these findings apply to strategic alliances in other nations. Although the use of a single-country setting helps control some national level factors that may affect the justice-cooperation link, the single-country setting could not cast light on how well the results hold in different types of economies, markets, societies, and cultures. The current effort is preliminary and suggests many additional investigations that will theorize and validate where, when, how, and why organizational justice nurtures cooperation in a boundary-spanning situation.

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APPENDIX

Major Survey Items^a

Responses to items in the three justice scales shared the response format 1, “not true at all,” to 7, “very true.” The definitions of some major terms, including those in italics below, were provided to respondents.

^aRespondents were asked to refer to the past three years as the time frame for answering the survey questions.

Procedural Justice

1. The procedures used by the strategic alliance's board members in their decision-making process are fair.
2. The procedures used by two parties in negotiating, stipulating, and codifying the strategic alliance contract are fair.
3. The procedures used by two parties in formulating and structuring the strategic alliance are fair.
4. The procedures used by two parties in planning, organizing, and managing strategic alliance activities (i.e., strategic planning, autonomy allocation, and routine management) are fair.
5. The procedures used to govern knowledge or resource sharing between two parties (i.e., knowledge transfer, innovation development, and resource contribution) are fair.^b
6. The procedures of executing strategic decisions are clearly defined and performed consistently.
7. The execution of the strategic alliance contract is administered and monitored fairly by both parties.
8. The implementation of strategic decisions is administered and monitored fairly by both parties.

"Fair" means that the above procedures and the execution of these procedures are (i) transparent, adjustable and correctable; (ii) representative, unbiased and nondiscriminatory to each party; and (iii) accordant with contractual specifications.

Distributive Justice

1. I think between-party sharing of rewards or returns generated from cooperation is fair in view of their contributed resources to the strategic alliance.
2. I think between-party sharing of rewards or returns generated from cooperation is fair in view of their continued commitment to cooperation.
3. I think between-party sharing of rewards or returns generated from cooperation reflects well the level of responsibility each party takes in building and managing the strategic alliance.
4. I think between-party sharing of rewards or returns generated from cooperation reflects well the amount of effort each party puts into building and managing the strategic alliance.

Rewards or returns broadly include monetary forms such as profit and dividend and nonmonetary forms such as knowledge acquisition and reputation enhancement.

^b This item was omitted from analyses owing to its relatively low factor loading.

Interactional Justice

1. During daily interactions, my counterpart (top manager from the other party) is honest in dealing with me.
2. During daily interactions, my counterpart respects the importance of guanxi (interpersonal relations).
3. Whenever a conflict arises between my counterpart and myself, we always seek complete understanding of each other's position and opinion in the first place.
4. My counterpart and I always communicate openly and directly.
5. My counterpart always provides me with timely feedback when I ask.
6. In the process of making strategic decisions relating to alliance operations and management, my input is always respected.

Goal Differences

For these items, responses were made on a scale ranging from 5, "to a very great extent," to 1, "not at all."

In the following areas, please give your opinion on the objectives each parent has in establishing this strategic alliance (Chinese parent in the 1st column and foreign parent in the 2nd column):

1. Overcoming entry barriers to the local industry
2. Generating short-term profits
3. Reducing financial risks
4. Reducing production costs
5. Taking advantage of investment incentives offered by the host government
6. Improving corporate reputation
7. Gaining access to the partner firm's technology, experience and skills
8. Expanding market share in the host country
9. Expanding market share in the export market

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